

Smart Cities or Surveillance? Huawei in Central Asia

Chinese surveillance technologies are popular among Central Asia's governments.

By Yau Tsz Yan

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Since 2014, **about 500 cities** in China have launched transformative efforts toward becoming cyber-connected “smart” cities, and now Chinese tech giant Huawei is moving to export its systems to Central Asia. In April 2019, Huawei closed **a \$1 billion deal** with the Uzbek government to further its surveillance operations in the country.

Most governments, including in **the United Kingdom** and **the United States**, call such projects “smart cities,” a term for the use of information and communications (ICT) technology to better provide services and security in urban areas. At the **2019 Smart City International Expo in Shanghai**, China invited representatives from Japan, Singapore, Portugal, France, and Facebook to share their practices.

The first IBM Smarter Cities project launched in Dublin in 2010, and **according to Professor Peng Diyun from Nanchang University**, China took IBM's vision seriously and carefully began to craft a Chinese version.

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Initially, the Chinese government called them “safe cities.” What began as a traffic monitoring system quickly morphed into a political tool with facial recognition technologies constantly feeding information gathered from all possible surfaces in China. The consequences of these cyber nightmares are well documented in Xinjiang, **where millions of CCTV systems track the whereabouts** of citizens, while a politically motivated algorithm, **the social credit system, works alongside to restrict physical mobility in an instant.**

More than just going cashless and monitoring buying behaviors on WeChat, China's digitalization is **centralizing all personal information** in order to automate an entire judicial system. Enforcement is quick and to the point, making the systems attractive to authoritarian governments the world over.

At a **security get together in May 2019**, the Uzbek government shared its “safe cities” successes with officials from Azerbaijan, Armenia, Belarus, Kazakhstan, Russia, Tajikistan, Kyrgyzstan, and Turkmenistan. In Tashkent, a video surveillance system records and analyzes movements while automatically reporting road violations such as speeding.

With Huawei's new backing, the some 883 cameras in the Uzbek capital are undergoing further developments to “digitally manage political affairs.” Back **in 2008, Huawei modernized the** Uzbek national telecommunications network for \$21 million. In 2011, Uzbekistan signed a **\$18 million tech purchasing deal with Huawei**, both using loans provided by the China Development Bank. Closely working with local telecommunication providers, Huawei's 5G is being incorporated with Uzmobil and Ucel in Uzbekistan, despite American opposition.

Similarly, there are **over 2,000 cameras** in Nur-Sultan, Kazakhstan, where **Huawei works with Kazakhtelecom, Kcell, Beeline, and Tele2**. Furthering its debt, the Tajik government spent \$22 million to implement **Huawei's “safe cities” system in Dushanbe** in 2013. Besides monitoring traffic, over 800 Chinese cameras are watching over public spaces such as monuments and parks. On top of this, **China already owns TK mobile**, one of the five telecommunication providers in Tajikistan. Likewise, at **90 percent and 70 percent**, Huawei is the main tech



A Huawei's smart city system is displayed at the showroom in Shenzhen city, China's Guangdong province, Wednesday, March 6, 2019.

Image Credit: AP Photo/Kin Cheung

supplier for Kyrgyzstan's top telecommunication providers Sky Mobile and Alfa Telecom.

China's tech dominance is obvious in Central Asia, but it has not come without pushback.

In **March 2018**, the Kyrgyz government turned down Huawei's \$60 million "safe cities" project. At \$34 million, the Kyrgyz government opted for a Russian company, Vega, to implement the first phase of a "safe cities" traffic monitoring system in **September 2018**. Laying a good foundation for Huawei's surveillance, by **July 2019**, Vega's facial recognition cameras are categorizing movements of single individuals, groups of people, and locating cars.

Data is currency in the new world, and many Chinese surveillance companies are mobilizing to profit along the path of the Belt and Road Initiative. With data centers on all continents, including one in Kyrgyzstan overseeing Central Asia, China's IZP Group was once given the **green light** to manage **an entire database overseas**. The grand scheme is to create an incredibly precise international supply chain system that can signal a hand bag manufacturer in China what to produce according to specific demands as detected through monitoring buying and social media behaviors overseas, while managing logistics in the meantime to make trade ultra efficient.

A young company, established in 2008, IZP Group was hand-picked to lead this digital aspect of the Belt and Road Initiative. After enjoying a monopoly in reaching financial technology deals with over 104 foreign governments, the company fell silent in 2017 after Sun Zhengcai, a high-ranked Chinese politician who once sat on the prestigious Central Political Bureau of the Communist Party, was put under investigation for corruption. IZP Group stocks fell dramatically as news of **Sun's arrest was made public**; the company operates out of Chongqing, where Sun served.

Despite IZP Group failing to make its ambiguous plans come to life as **corruption charges endure**, other experienced surveillance companies have pushed ahead. Meanwhile, as of **May**, reports surfaced that Washington was considering blacklisting at least five other Chinese tech firms — all with close ties to government officials — barring them from buying U.S. components or software. The companies all do significant global business: Hangzhou Hikvision Digital Technology Co. operates in Europe, the United States, Australia and India; Zhejiang Dahua Technology Co. is planning to **watch over the 2020 G-20 meeting in Saudi Arabia**; Megvii Co. is **monitoring the China-Pakistan Economic Corridor in Pakistan**; Xiamen Meiya Pico Information Co. **trained the police force in the Philippines**; and Iflytek Co.'s smart toys, matched with its solid translation software, certainly have surveillance potential.

All along the Belt and Road, local technocrats have lacked the foresight to safeguard the rights of their citizens to personal data — this will prove detrimental in years to come. China has urged other governments to expand information sharing to make its Digital Silk Road a reality, as emphasized in the **2015 white paper for the Belt and Road Initiative**. Chinese politicians already have **remote access** to information such as funds transfer, security checkpoints, human traffic, and so on in China's smart cities. It is not difficult to picture an international surveillance system in the hands of the Chinese government. After all, as an extensive *New York Times* report detailed, parts of **South America are already under Chinese watch**.

Expanding regulations so as to better protect personal data from illegitimate uses, the European Union broadened data protection in the 2018 General Data Protection Regulation (GDPR). Unfortunately, this emerging consensus on technology's political impact has not traveled east. In Kazakhstan, Kyrgyzstan, and Uzbekistan, laws on personal data date back to 2013, 2008, and 2003, respectively. Attempting to keep up with the EU's GDPR, Turkmenistan in 2017 and Tajikistan in 2018 adopted new policies that nevertheless still remain limited in reach given poor enforcement.

China formally made public its digital ambitions in Central Asia at Huawei's Innovation Day in November 2017, held in the Kazakh capital, a month before **settling deals** with Laos, Saudi Arabia, Serbia, Thailand, Turkey, and the United Arab Emirates. As perceptions of international terrorism persist, a cross-border social credit system could be in the works, especially in light of vague policy deals between China and Belt and Road countries.

Such a system would be especially plausible in Central Asia, where a decades old terrorism discourse against Uyghur separatists continues to be the main agenda between Chinese and Central Asian officials. On the re-education camps in Xinjiang, Zhang Zhisheng from the Xinjiang Foreign Affairs office **said**, "Some people, before they commit a murder, already show that they are capable of killing. Should we wait for them to commit the crime or should we prevent it from happening?"

It is a rather small leap to apply the same rationale to tackling terrorist threats elsewhere — and Chinese companies

have pioneered the technology to make it possible.

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